

Dry Bulk Shipping

Bi-Weekly Industry Report

July 7, 2026

- A Solid First Half for Dry Bulk Shipping** – Notwithstanding prevailing market uncertainty, the **dry bulk shipping sector achieved an exceptionally strong performance** in the first half of the year, characterized by **tight** global vessel **supply** that drove average earnings across all asset classes well above historical benchmarks. Operational inefficiencies, extended voyage lengths, and bunker fueling dislocations stemming from disruptions in the Strait of Hormuz oil flow further constrained market capacity, a trend compounded by a **heavy drydocking schedule** for aging vessels built during the 2009–2011 vessel construction boom. This reduced effective supply, paired with healthy iron ore demand, sustained Capesize earnings at highly profitable levels exceeding \$30,000 per day. While the second half of the year is projected to introduce **heightened volatility** as these operational tailwinds gradually unwind, fleet deliveries approach a 4% run-rate, and Chinese steel demand weakens, positive market sentiment is expected to temporarily mitigate these emerging fundamental headwinds.
- Oil Imports into China Collapse** – The **severe contraction** in **China's June oil imports** to approximately 6 million barrels per day represents a critical convergence of acute geopolitical disruption and likely structural domestic economic weakness. While the recent U.S.-Iran conflict and Strait of Hormuz closure **severely distorted near-term trade data** and triggered price volatility, the decline might not be attributed solely to supply-side shocks; rather, it could underscore weak domestic demand within China's industrial and real estate sectors. This macroeconomic deceleration is further compounded by a **permanent structural shift**, as rapid electric vehicle adoption and alternative energy integration continue to erode the country's baseline transportation fuel requirements. Consequently, despite a recent peace breakthrough easing global supply constraints, China's underlying domestic consumption remains **structurally impaired**, leaving its broader economic growth increasingly dependent on the export market to sustain current production targets.
- Our Long-term View** – The last few years have been characterized by increased geopolitical uncertainty. Going forward, we expect such events to continue to affect global trade and have a meaningful impact on effective vessel supply. Combined with the potential for a multi-year cyclical rebound in China's economic activity following the recent economic turmoil, dry bulk shipping should experience higher volatility on top of a secular tightness driven by stable bulk commodity demand and rather steady fleet growth.

Short-term Indicators

Momentum:	Neutral
Sentiment:	Neutral
Fundamentals:	Neutral

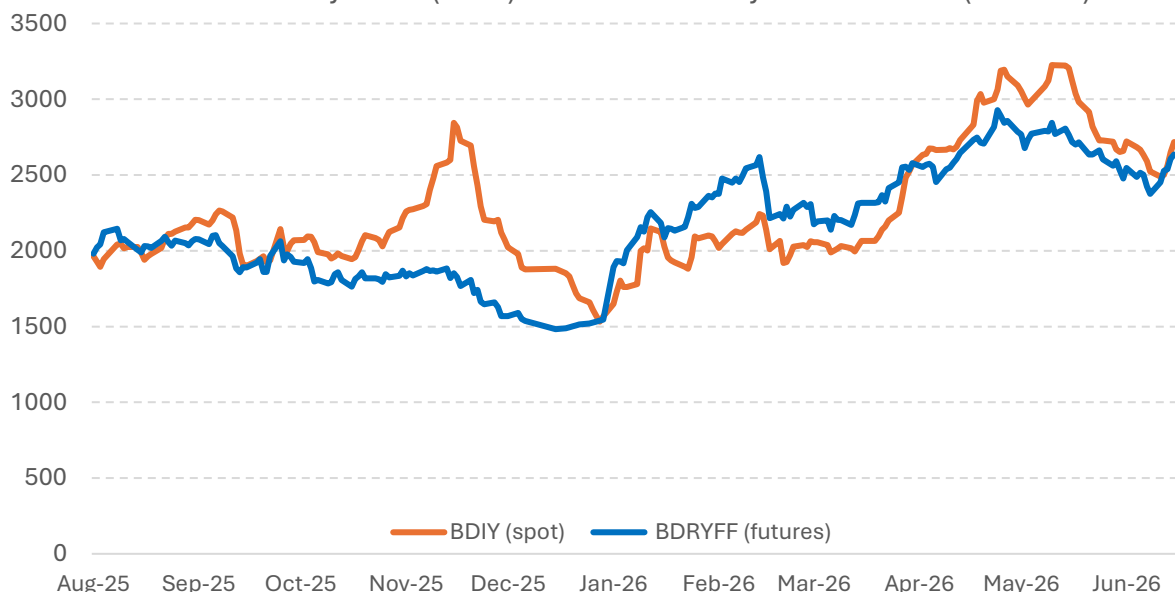
Breakwave Dry Futures Index:	2634
30D: -3.0%	↓
YTD: 71.4%	↑
YOY: 75.4%	↑

Baltic Dry Index (spot):	2797
30D: -6.2%	↓
YTD: 44.8%	↑
YOY: 89.2%	↑

Reuters:	BDRY.K
Bloomberg:	BDRY US
Exchange:	NYSE

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Baltic Dry Index (BDIY) vs Breakwave Dry Futures Index (BDRYFF)



The Baltic Dry Index (BDI) measures the average spot rates for dry bulk freight with a sector weighting of 40% Capesize, 30% Panamax and 30% Supramax. The Breakwave Dry Futures Index (BDRYFF) is designed to track freight futures contracts with a sector weighting of 50% Capesize, 40% Panamax and 10% Supramax and a weighted average maturity of approximately 50-70 days.

Dry Bulk Fundamentals

Demand	YTD	YOY
China Steel Production	416mt	-3.7%
China Steel Inventories	4.9mt	31.9%
China Iron Ore Inventories	160mt	19.7%
China Iron Ore Imports	1777mt	3.0%
China Coal Imports	673mt	-8.0%
China Soybean Imports	149mt	4.6%
Brazil Iron Ore Exports	563mt	4.8%
Australia Iron Ore Exports	1313mt	3.0%

Supply

Dry Bulk Fleet	1085 mdwt	3.4%
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Freight Rates

Baltic Dry Index, Average	2,357	82.1%
Capesize Spot Rates, Average	29,598	87.3%
Panamax Spot rates, Average	17,361	60.9%

Note: All numbers as of latest available; Imports/Exports/Production are YTD sums as of latest reported; Inventories/Fleet are weekly totals

Sources: Bloomberg, IEA, Clarksons and Breakwave Advisors

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